Syllabus Edition
First teaching 2025
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Liquidity

Exam code: 0450, 0986 & 0264, 0774

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The concept of liquidity

- **Liquidity refers to the cash and other current assets businesses have available to quickly pay bills and meet short-term financial obligations**
- A business that cannot pay its debts is considered **insolvent**
  - If a business cannot pay its **suppliers,** raw materials or components may not be delivered, and **production may be delayed**
  - If it cannot repay an **overdraft**, **banking facilities may be withdrawn,** and its **credit rating** will suffer
  - **Creditors** may force it to stop trading and sell its **assets** so that the debts owed to them are repaid
- The liquidity of a business can be measured using two ratios
  - **Current ratio**
  - **Acid test ratio**

Examiner Tips and Tricks

A common misconception is thinking a **high liquidity ratio is always good** – in reality, too much cash or current assets may mean resources are not being used efficiently

Help me understand

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

Current ratio

- **The current ratio indicates how many £s (or other currency units) of current assets are available to cover each £1 (or other currency unit) of short-term debt**

calculating this ratio
    - The result
- It is calculated using the formula

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$= ? : 1$$

Worked Example

Packer Sports Ltd has current assets of $15,545, current liabilities of $5,060 and an inventory figure of $8,250.

Calculate Packer Sports Ltd.'s current ratio.

(2)

Step 1: Substitute the values into the equation

$$\$15{,}545 \div \$5{,}060$$ [1]

$$= 3.07$$

Step 2: Express the outcome as a ratio

$$= 3.07 : 1$$ [1]

- **Packer Sports Ltd has $3.07 of current assets to cover each $1 of short-term debt**

Acid test ratio

- **The Acid Test Ratio (also called the Quick Ratio) is a measure of a business's liquidity – how easily it can pay its short-term debts without relying on selling inventory (stock)**
    - It is **expressed as a ratio**
    - It is also known as the **liquid capital ratio**
    - The **least liquid** form of current assets (inventory) is deducted so the acid test ratio provides a more **realistic** measure of the bbusiness'sability to **meet short-term debts quickly**
        - It often **takes time to sell inventory** so it is excluded
- The acid test is calculated using the formula

$$\text{Acid test ratio} = \frac{\text{Current assets} - \text{Inventory}}{\text{Current liabilities}}$$

$$= ? : 1$$

liabilities of $5,060 and an inventory figure of $8,250.

Calculate Packer Sports Ltd.'s current ratio.

(2)

Step 1: Subtract inventory from current assets

$$\$15{,}545 - \$8{,}250 \quad [1]$$

$$= \$7{,}295$$

Step 1: Substitute the values into the equation

$$\text{Acid test ratio} = \frac{\text{Current assets} - \text{Inventory}}{\text{Current liabilities}}$$

$$= \frac{\$7{,}295}{\$5{,}060} \quad [1]$$

$$= 1.44$$

Step 2: Express the outcome as a ratio

$$= 1.44 : 1 \quad [1]$$

- **Packer Sports Ltd has $1.44 of the most liquid current assets to cover each $1 of short-term debt**

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